

Constitution on Fundamental & Human Rights: Bangladesh Perspective

This document explores the fundamental and human rights enshrined in the Constitution of Bangladesh, highlighting their significance, scope, and the challenges faced in their implementation. It provides an overview of the constitutional provisions related to human rights, the role of various institutions in safeguarding these rights, and the ongoing efforts to address violations. The discussion aims to shed light on the importance of these rights in promoting social justice and equality in Bangladesh.

Introduction

The Constitution of Bangladesh, adopted in 1972, is a pivotal document that lays the foundation for the country's legal and political framework. It emphasizes the importance of fundamental and human rights as essential components of democracy and governance. The Constitution guarantees a range of rights to all citizens, reflecting the nation's commitment to uphold dignity, freedom, and justice.



The Constitution of Bangladesh enshrines the fundamental and human rights of its citizens, drawing heavily from international human rights norms and principles. Here's an overview of the constitutional framework regarding these rights:

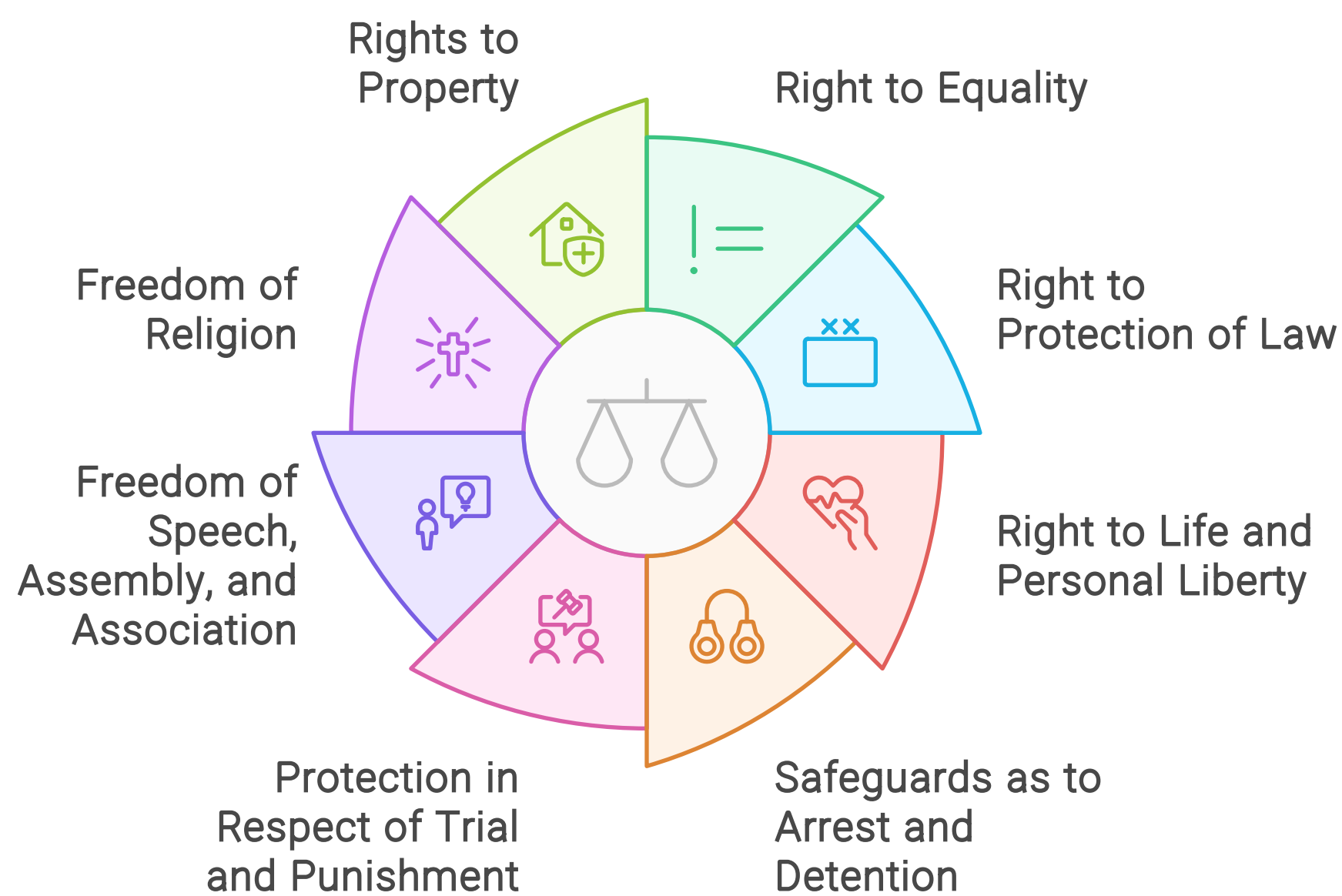
Fundamental Rights in the Constitution of Bangladesh

Part III of the Constitution (Articles 26-47A) specifically deals with fundamental rights. These rights are enforceable by the courts, meaning that if someone's fundamental rights are violated, they can seek redress in the court.

1. Right to Equality [Article 27-29]:
 - All citizens are equal before the law and are entitled to equal protection of the law.
 - The state cannot discriminate against any citizen on grounds of religion, race, caste, sex, or place of birth.
2. Right to Protection of Law [Article 31]:
 - Every citizen has the right to protection of the law, and to be treated in accordance with law.
3. Right to Life and Personal Liberty [Article 32]:
 - No person shall be deprived of life or personal liberty save in accordance with the law.
4. Safeguards as to Arrest and Detention [Article 33]:
 - Provides protections for individuals who are arrested, including the right to be informed of the reasons for arrest, and the right to consult with a lawyer.
5. Protection in Respect of Trial and Punishment [Article 35]:
 - No person shall be subjected to torture, or to cruel, inhuman, or degrading punishment or treatment.
 - A person cannot be prosecuted and punished for the same offense more than once.
6. Freedom of Speech, Assembly, and Association [Articles 37-39]:
 - Every citizen has the right to freedom of speech and expression, peaceful assembly, and the right to form associations or unions.
7. Freedom of Religion [Articles 41]:

- Every citizen has the right to practice, profess, and propagate any religion, subject to law, public order, and morality.
8. Rights to Property [Article 42]:
- Every citizen has the right to acquire, hold, transfer or dispose of property, subject to reasonable restrictions imposed by law.
9. Right to Protection of Home and Correspondence [Article 43]:
- Every citizen has the right to privacy in their home and correspondence, subject to reasonable restrictions by law.
10. Right to Education [Article 17, though not part of Fundamental Rights]:
- The state has a duty to ensure the provision of universal and compulsory primary education.

Fundamental Rights in Bangladesh



Enforcement of Fundamental Rights

Article 44 grants the right to move the High Court Division of the Supreme Court for the enforcement of the fundamental rights. The High Court has the power to issue orders, directions, or writs, including habeas corpus, mandamus, prohibition, quo warranto, and certiorari.

How to enforce fundamental rights?



Human Rights in Bangladesh

Human rights in Bangladesh are protected under the Constitution, but there are also several laws and institutions in place to further these protections:

1. National Human Rights Commission [NHRC]:

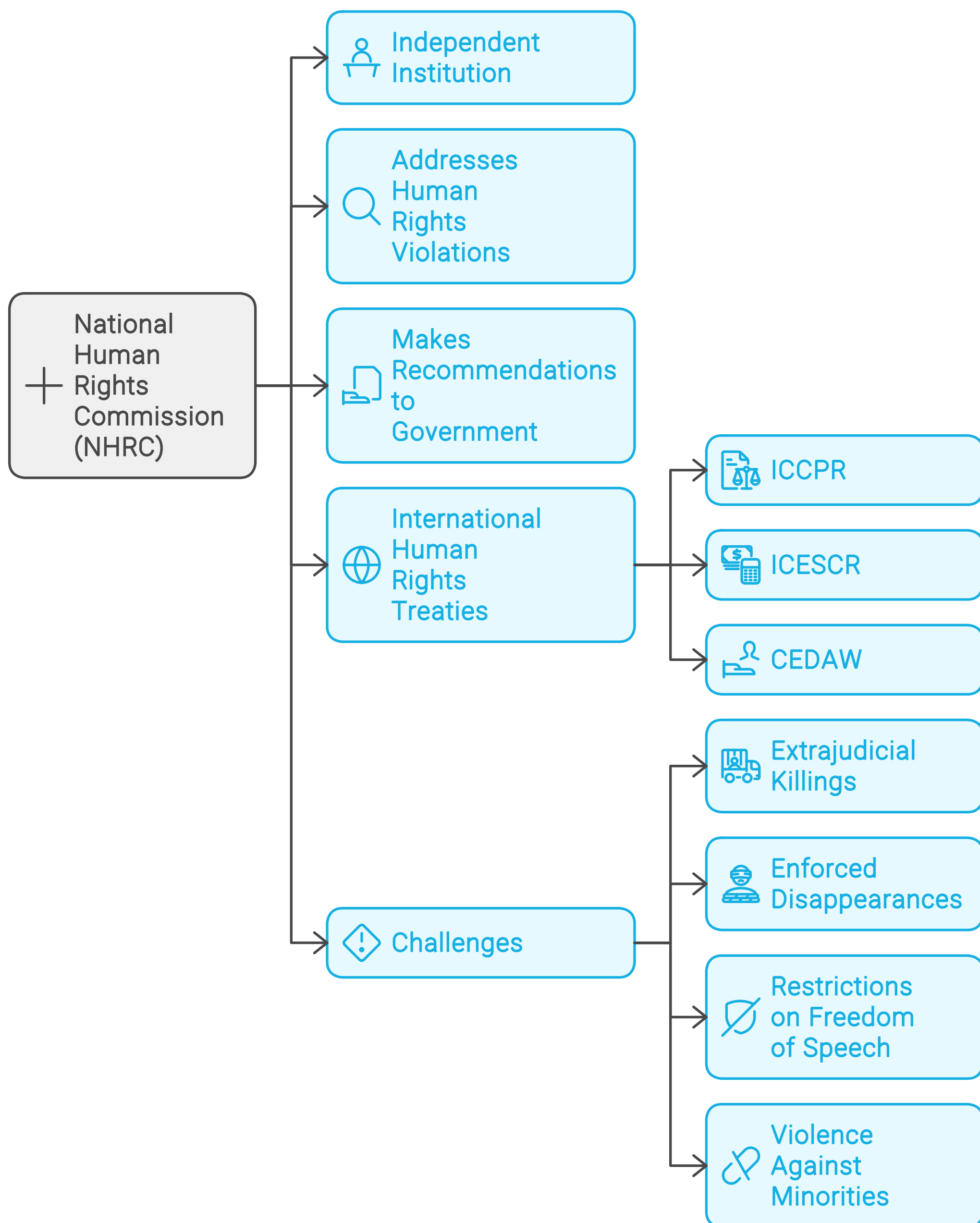
- The NHRC is an independent institution established to promote and protect human rights in Bangladesh. It addresses complaints of human rights violations and makes recommendations to the government.

2. International Human Rights Instruments:

- Bangladesh is a party to several international human rights treaties, including the International Covenant on Civil and Political Rights (ICCPR), International Covenant on Economic, Social and Cultural Rights (ICESCR), and the Convention on the Elimination of All Forms of Discrimination Against Women (CEDAW).

3. Challenges and Criticism:

- Despite the constitutional guarantees, there have been concerns regarding the enforcement of these rights in Bangladesh. Issues such as extrajudicial killings, enforced disappearances, restrictions on freedom of speech, and violence against minorities have been areas of concern.



Conclusion

The Constitution of Bangladesh provides a strong foundation for the protection of fundamental and human rights, aligning with international standards. However, the effective enforcement and protection of these rights continue to be a challenge, requiring continuous efforts from the government, judiciary, and civil society.

Human Rights Institutions

Bangladesh has established several institutions to promote and protect human rights, including the National Human Rights Commission (NHRC). The NHRC plays a vital role in investigating human rights violations, raising awareness, and recommending policy changes to the government.

Challenges in Implementation

Despite the constitutional guarantees, the realization of fundamental and human rights in Bangladesh faces significant challenges. Issues such as political repression, extrajudicial killings, and restrictions on freedom of expression continue to undermine these rights. Additionally, social inequalities and discrimination based on gender, ethnicity, and economic status further complicate the situation.

Conclusion

The Constitution of Bangladesh provides a robust framework for the protection of fundamental and human rights. However, the effective implementation of these rights remains a challenge. It is imperative for the government, civil society, and citizens to work collaboratively to address violations and promote a culture of respect for human rights. Strengthening institutions, enhancing legal frameworks, and fostering public awareness are essential steps towards achieving a just and equitable society in Bangladesh.

Human Rights Concepts

Human rights are rights we have simply because we exist as human beings - they are not granted by any state. These universal rights are inherent to us all, regardless of nationality, sex, national or ethnic origin, color, religion, language, or any other status. They range from the most fundamental - the right to life - to those that make life worth living, such as the rights to food, education, work, health, and liberty.

The Universal Declaration of Human Rights (UDHR), adopted by the UN General Assembly in 1948, was the first legal document to set out the fundamental human rights to be universally protected. The UDHR, which turns 75 on 10 December 2023, continues to be the foundation of all international human rights law. Its 30 articles provide the principles and building blocks of current and future human rights conventions, treaties and other legal instruments.

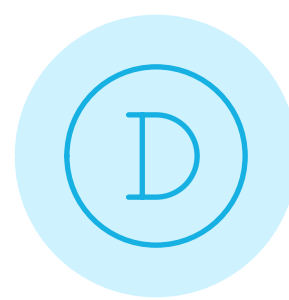
The UDHR, together with the 2 covenants - the International Covenant for Civil and Political Rights, and the International Covenant for Economic, Social and Cultural Rights - make up the International Bill of Rights.

Which document is the foundation of all international human rights law?



Universal Declaration of Human Rights (UDHR)

First legal document to set out fundamental human rights to be universally protected.



International Bill of Rights

Comprises the UDHR and two covenants, forming the cornerstone of international human rights law.

The concept of human rights is based on the recognition that all human beings are entitled to certain inherent rights simply by virtue of being human. These rights are universal, inalienable, and indivisible, meaning they apply to everyone, cannot be taken away, and all rights are equally important.

Key Concepts of Human Rights

1. Universality:

- Human rights apply to every person, regardless of nationality, race, ethnicity, gender, religion, or any other status. They are universal in nature, meaning that they are recognized as applicable to all people everywhere.

2. Inalienability:

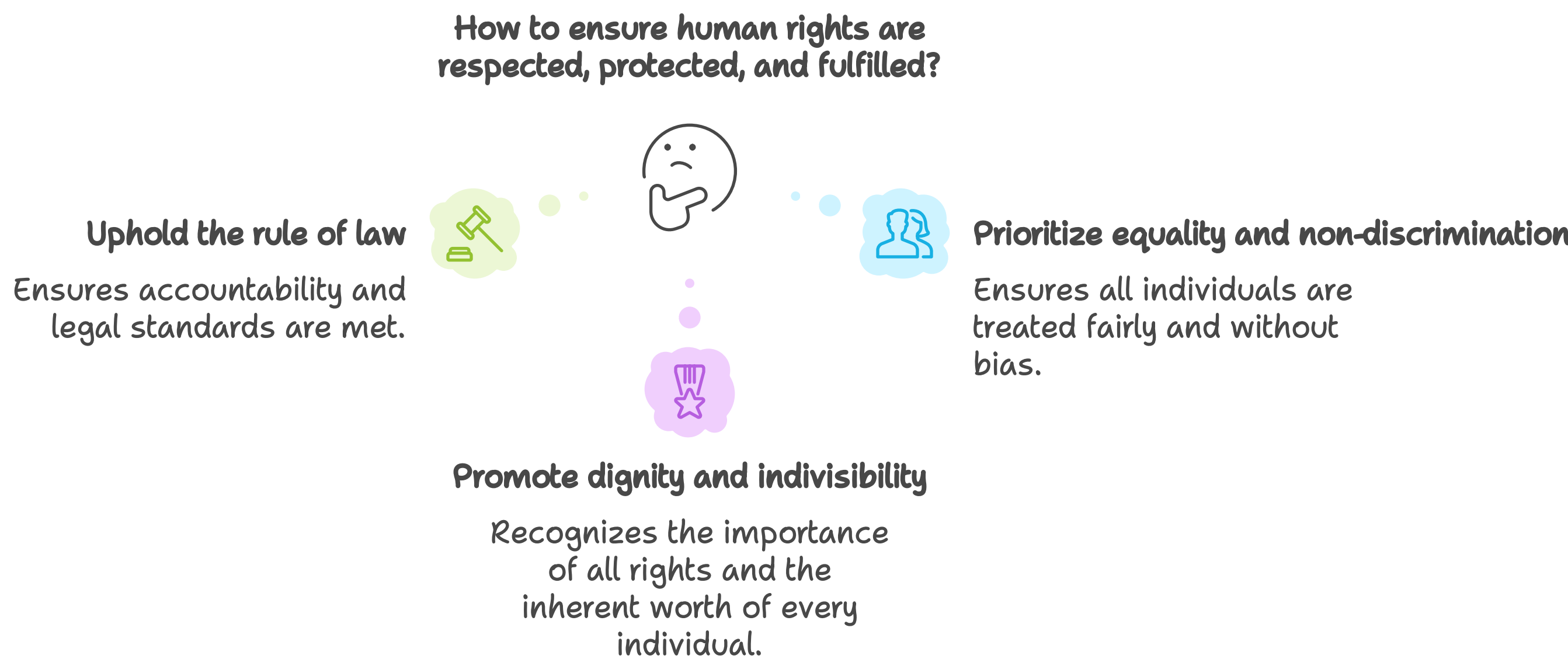
- Human rights cannot be taken away, surrendered, or transferred. They are inherent in every person, and no one should be deprived of them, except in specific circumstances prescribed by law.

3. Indivisibility:

- Human rights are indivisible, meaning that all rights are equally important and interdependent. Civil, political, economic, social, and cultural rights are all essential and cannot be separated.

4. Interdependence and Interrelatedness:

- The fulfillment of one right often depends on the fulfillment of others. For example, the right to health is closely related to the right to education, adequate housing, and access to information.
5. Equality and Non-Discrimination:
 - All individuals are entitled to human rights without discrimination of any kind. Equality before the law and equal protection of the law are central to the human rights framework.
 6. Dignity:
 - The concept of human dignity is at the core of human rights. Every individual has inherent dignity that must be respected and protected.
 7. Accountability and Rule of Law:
 - Governments and other duty-bearers are accountable for ensuring that human rights are respected, protected, and fulfilled. This is enforced through the rule of law, ensuring that legal standards and processes are in place to uphold rights.



Categories of Human Rights

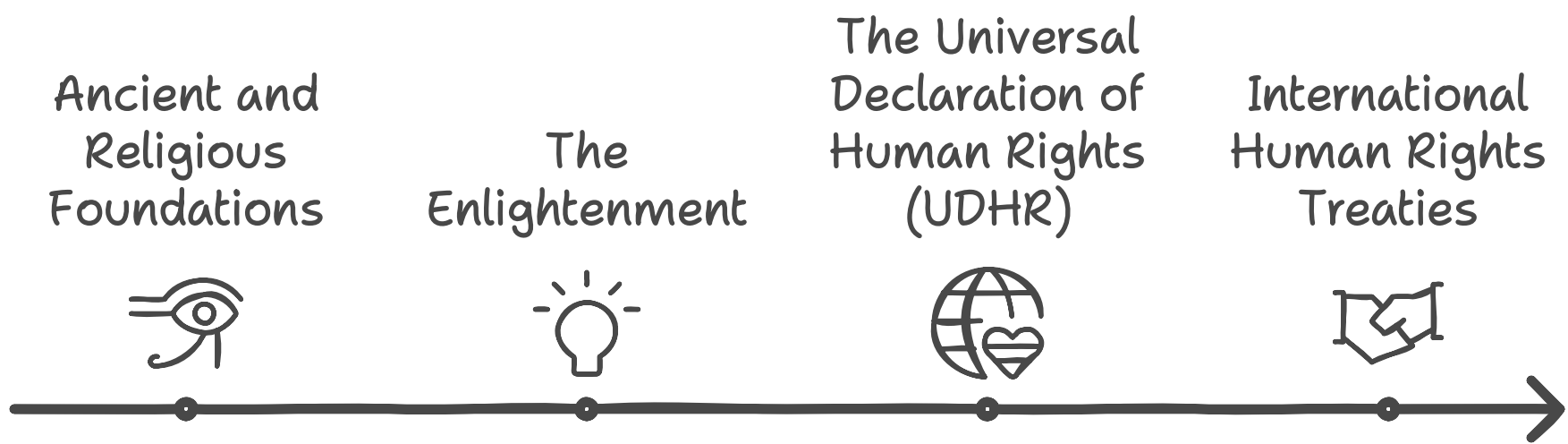
1. Civil and Political Rights:
 - These rights protect individuals' freedoms and ensure participation in civil and political life. They include the right to life, freedom from torture, freedom of speech, freedom of religion, the right to a fair trial, and the right to vote.
2. Economic, Social, and Cultural Rights:
 - These rights ensure that individuals have access to the resources they need to live with dignity. They include the right to work, the right to education, the right to health, the right to adequate housing, and the right to participate in cultural life.
3. Collective Rights:
 - These are rights held by groups rather than individuals and include the rights of indigenous peoples, the right to self-determination, and the right to a clean environment.



Historical Development

- 1. Ancient and Religious Foundations:
 - Concepts resembling human rights can be found in ancient texts and religious teachings, such as the Code of Hammurabi, the Magna Carta, and the teachings of Buddhism, Christianity, and Islam.
- 2. The Enlightenment:
 - The modern concept of human rights emerged during the Enlightenment in the 17th and 18th centuries, with philosophers like John Locke, Jean-Jacques Rousseau, and Immanuel Kant advocating for the natural rights of individuals.
- 3. The Universal Declaration of Human Rights (UDHR):
 - After the atrocities of World War II, the United Nations adopted the UDHR in 1948, which sets out a common standard of fundamental human rights to be universally protected.
- 4. International Human Rights Treaties:
 - The UDHR was followed by binding international treaties, such as the International Covenant on Civil and Political Rights (ICCPR) and the International Covenant on Economic, Social and Cultural Rights (ICESCR), which together form the International Bill of Human Rights.

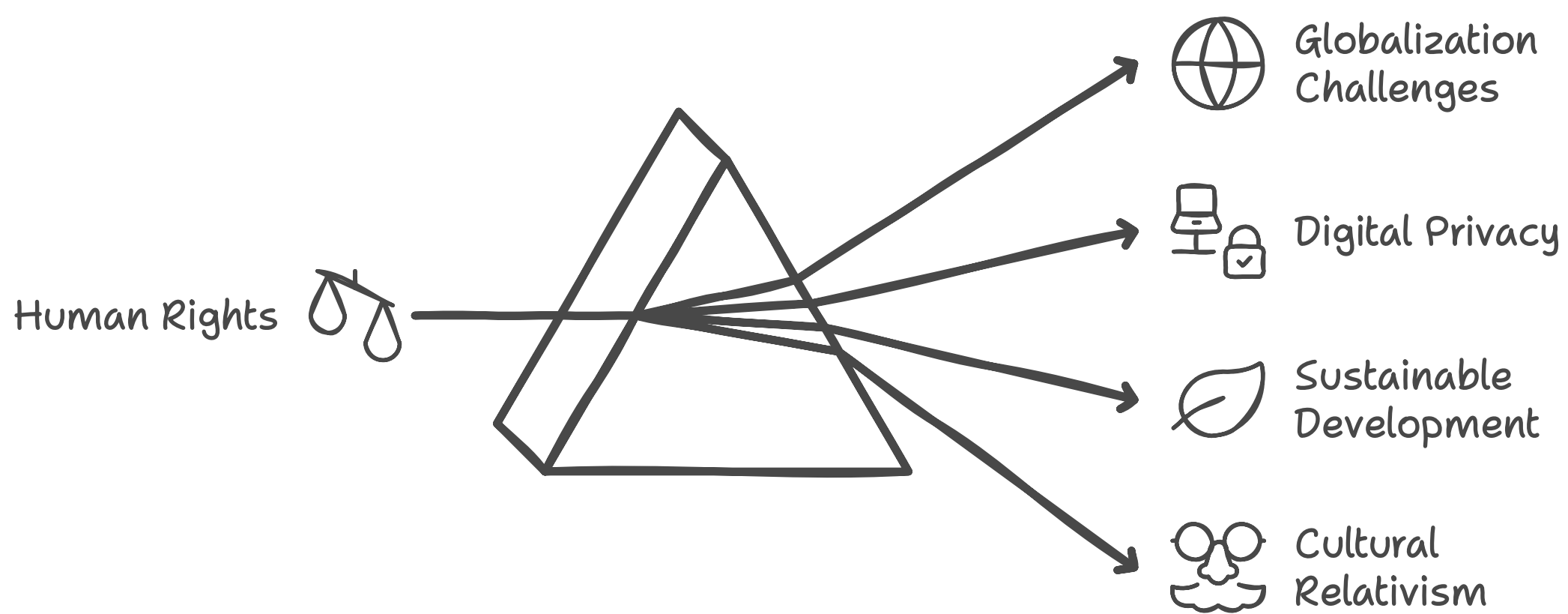
The Evolution of Human Rights: From Ancient Foundations to International Treaties



Contemporary Issues in Human Rights

- 1. Human Rights and Globalization:

- Globalization has brought new challenges and opportunities for human rights, including issues related to labor rights, environmental protection, and the rights of migrants.
2. Digital Rights:
- In the digital age, issues such as privacy, freedom of expression online, and access to information have become critical human rights concerns.
3. Human Rights and Development:
- The relationship between human rights and sustainable development has become a focus, particularly with the adoption of the Sustainable Development Goals [SDGs], which aim to leave no one behind.
4. Cultural Relativism vs. Universalism:
- The debate continues on whether human rights should be universally applied or adapted to fit cultural contexts, with some arguing that cultural traditions and values must be considered.



Conclusion

Human rights are fundamental to ensuring the dignity, freedom, and well-being of all individuals. The concept has evolved over time, becoming a central aspect of international law and policy. However, challenges remain in the implementation and enforcement of human rights globally, requiring ongoing efforts from governments, civil society, and international organizations.

LAW OF Contract : Elements of Contract

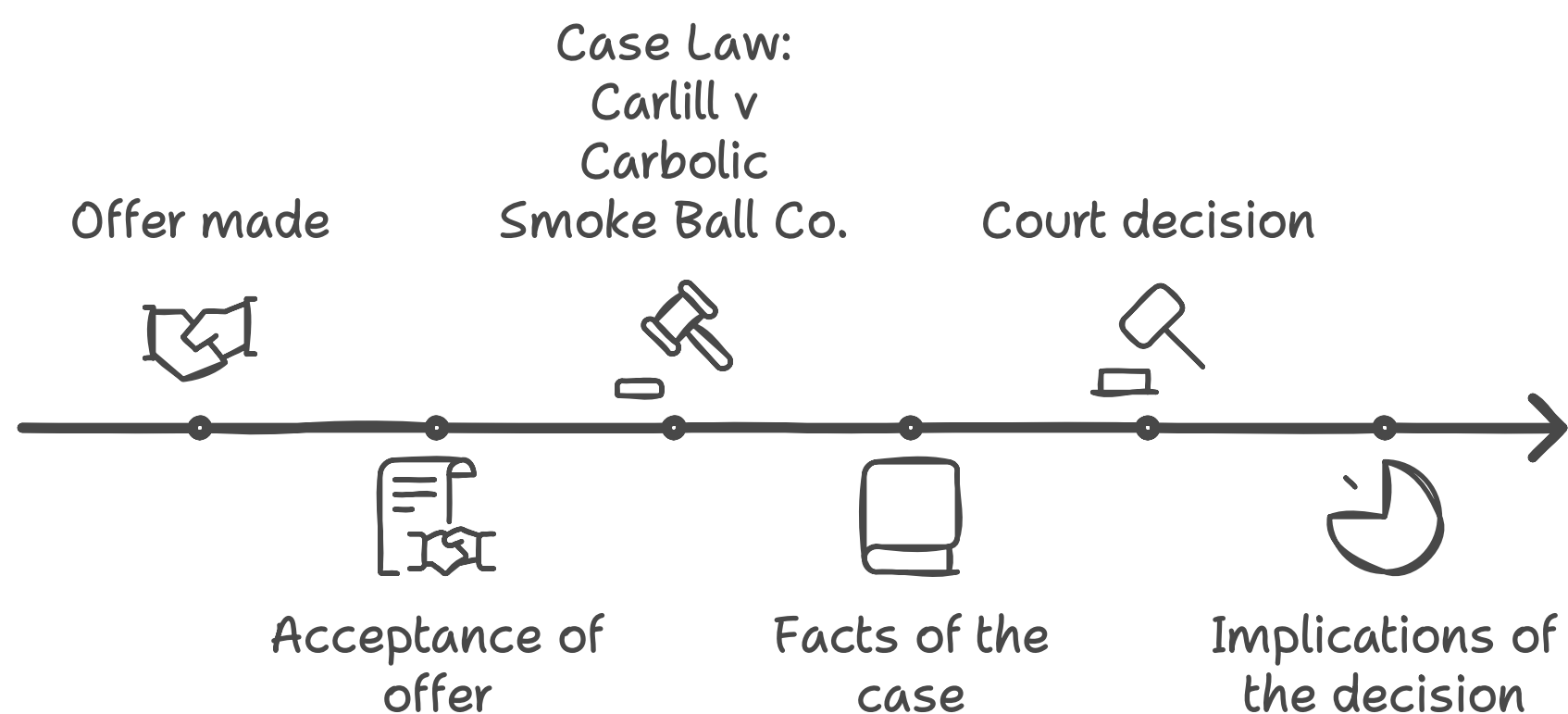
The law of contract in Bangladesh is governed by the Contract Act, 1872, which was originally enacted in British India and continues to be applicable in Bangladesh. The Act defines the essential elements required to form a valid contract and outlines the obligations, rights, and duties of the parties involved. Below are the essential elements of a contract as per the Contract Act, 1872, along with relevant case laws:

1. Offer and Acceptance [Sections 3-9]

- Offer: An offer is a proposal by one party to another, intending to create a legal obligation. The offer must be clear, definite, and communicated to the offeree.
- Acceptance: Acceptance is the unconditional assent to the terms of the offer. Acceptance must be absolute and communicated to the offeror. Once accepted, the offer becomes a contract.
- Case Law: Carlill v Carbolic Smoke Ball Co. [1893] 1 QB 256
 - Facts: The company advertised that they would pay £100 to anyone who used their product and still contracted influenza. Mrs. Carlill used the product and caught the flu. The company argued it was not a binding contract.

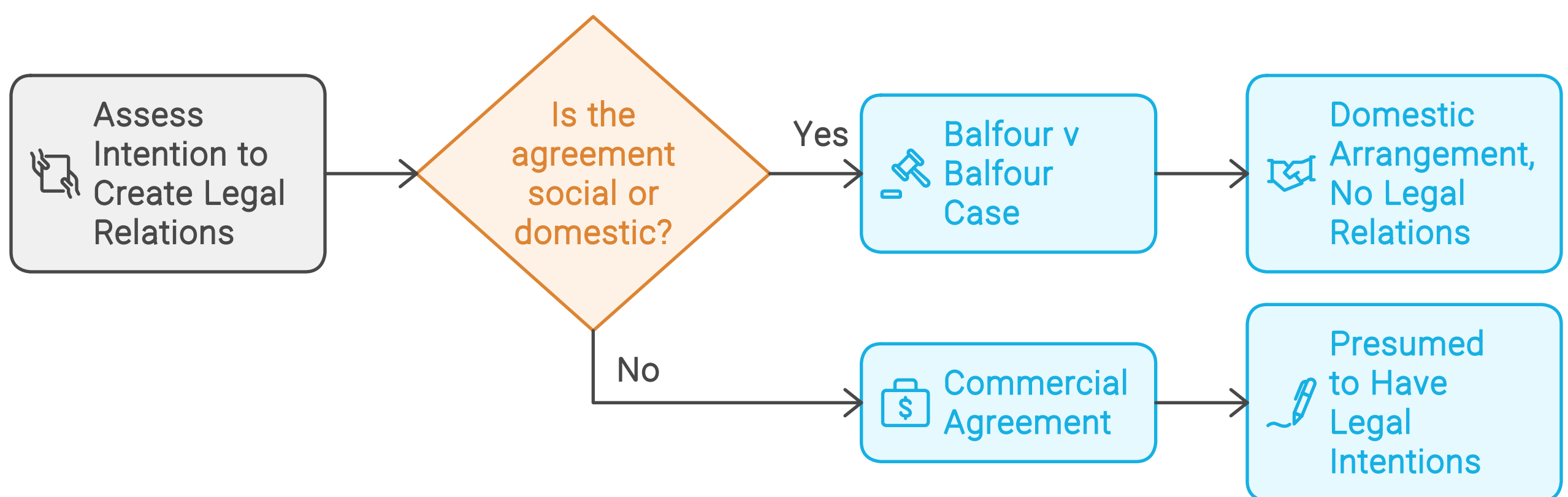
- Decision: The court held that the advertisement constituted a unilateral offer that was accepted when Mrs. Carlill used the product as directed.

Understanding Contract Law: From Offer to Acceptance



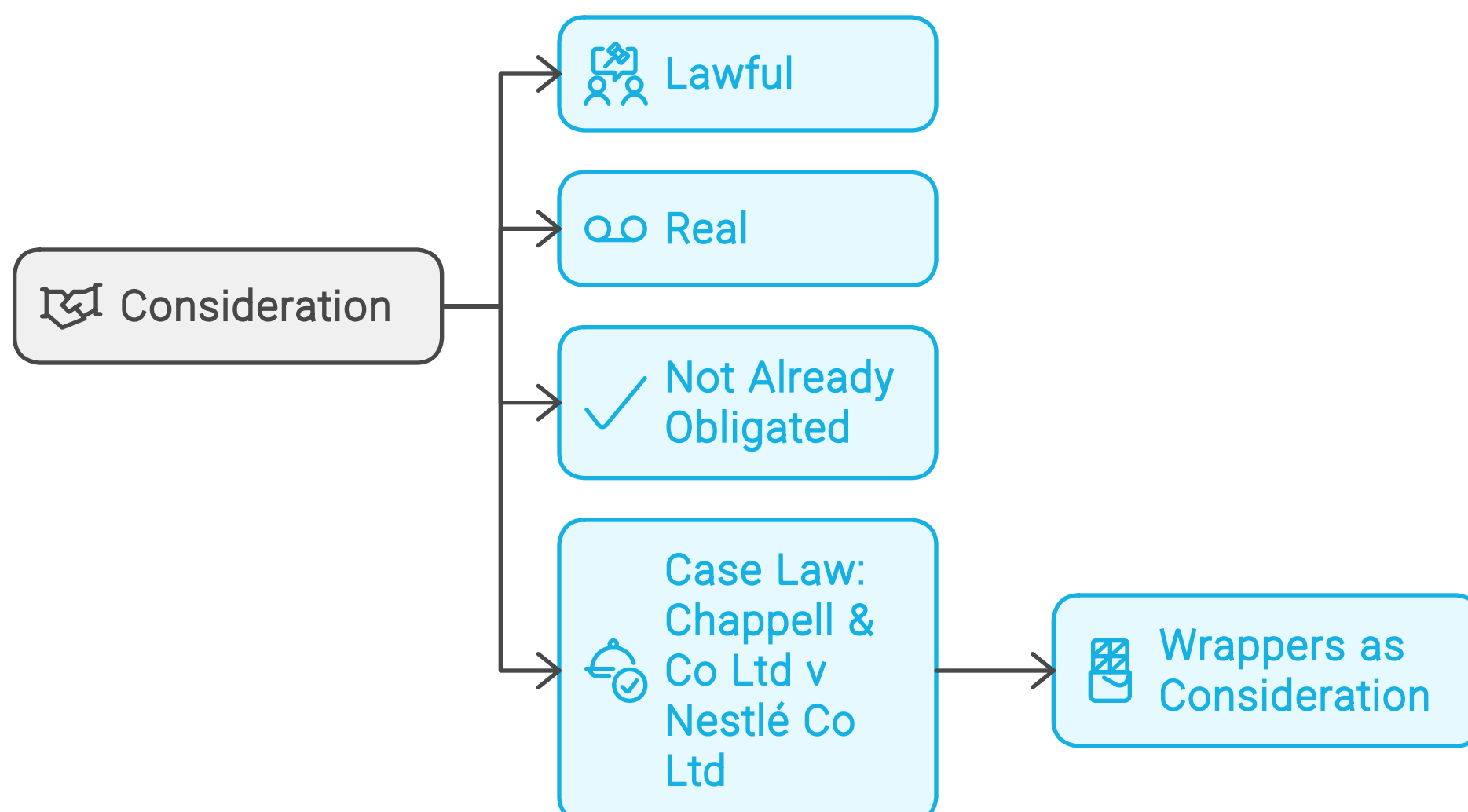
2. Intention to Create Legal Relations

- The parties must intend to enter into a legally binding agreement. Social or domestic agreements are generally presumed not to have legal intentions, whereas commercial agreements usually do.
- Case Law: Balfour v Balfour [1919] 2 KB 571
 - Facts: A husband promised his wife a monthly allowance while he was working abroad. When the marriage broke down, the wife sued for the allowance.
 - Decision: The court held that the agreement was a domestic arrangement and not intended to create legal relations.



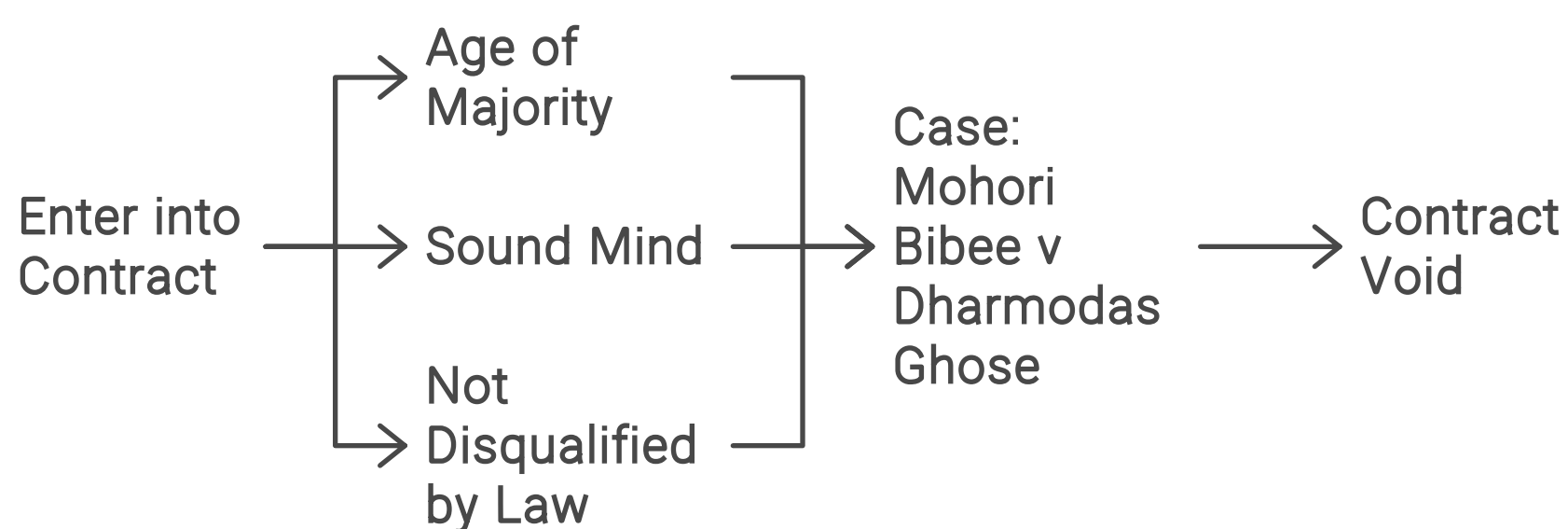
3. Lawful Consideration [Sections 2(d), 23, 24]

- Consideration: Consideration is the price paid by one party for the promise of the other. It must be lawful, real, and not be something that the promisor is already legally bound to do.
- Lawfulness: The consideration must not be illegal, immoral, or against public policy.
- Case Law: Chappell & Co Ltd v Nestlé Co Ltd [1960] AC 87
 - Facts: Nestlé offered records in exchange for chocolate bar wrappers and money. The issue was whether the wrappers formed part of the consideration.
 - Decision: The court held that the wrappers were part of the consideration, even though they had no intrinsic value.



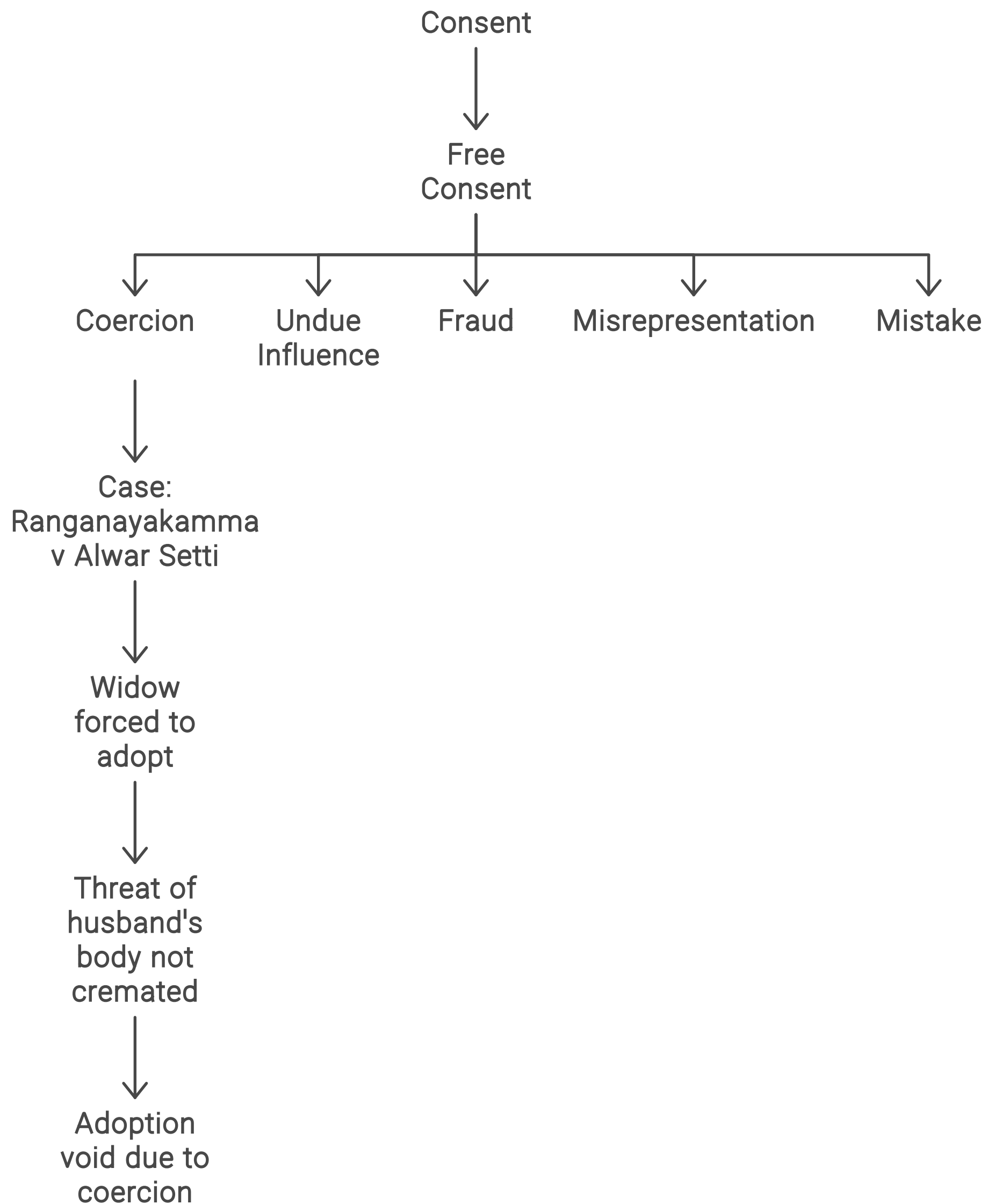
4. Capacity to Contract [Sections 11-12]

- Age of Majority: The parties must be of the age of majority [18 years in Bangladesh].
- Sound Mind: The parties must be of sound mind, meaning they can understand the contract and its implications.
- Not Disqualified by Law: Persons disqualified by law, such as insolvents, cannot enter into a contract.
- Case Law: Mohori Bibee v Dharmodas Ghose [1903] ILR 30 Cal 539 [PC]
 - Facts: A minor entered into a contract for a loan. The lender sought to enforce the contract.
 - Decision: The Privy Council held that the contract was void as the minor lacked capacity to contract.



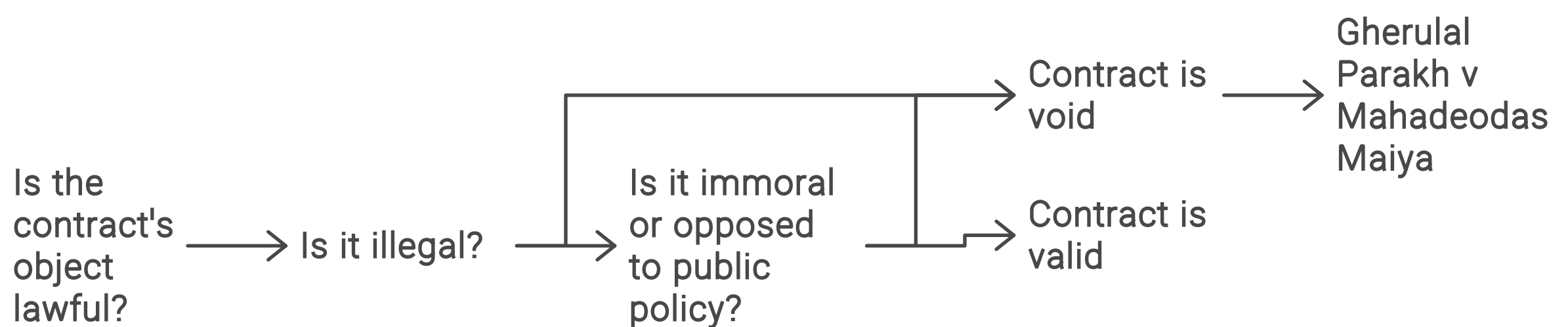
5. Free Consent [Sections 13-22]

- Consent: Consent means that both parties agree upon the same thing in the same sense.
- Free Consent: Consent is considered free when it is not caused by coercion, undue influence, fraud, misrepresentation, or mistake.
- Case Law: Ranganayakamma v Alwar Setti [1889] ILR 13 Mad 214
 - Facts: A widow was forced to adopt a boy under threat that her husband's body would not be removed for cremation unless she did so.
 - Decision: The court held that the adoption was void as the consent was not free but obtained under coercion.



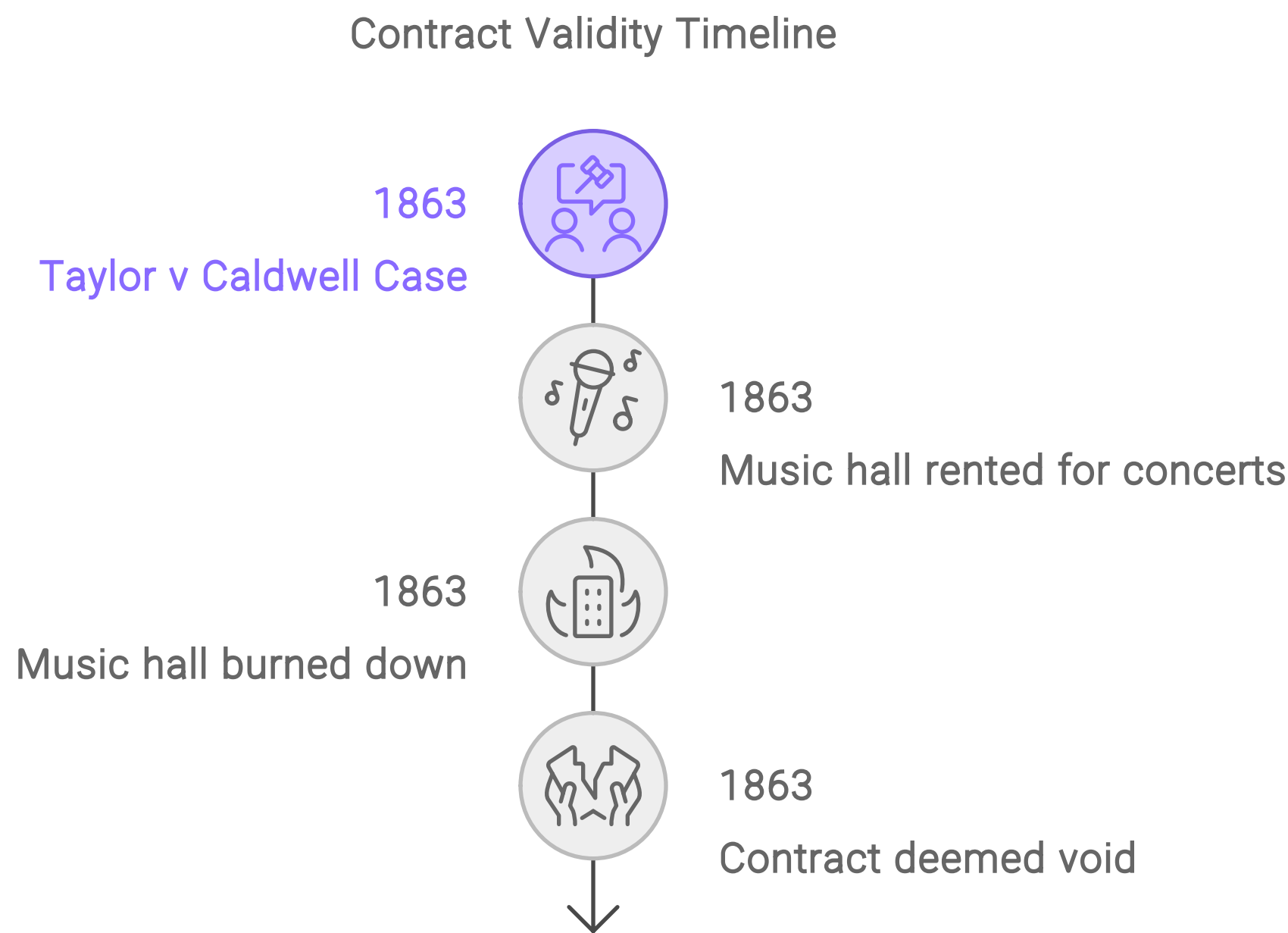
6. Lawful Object [Sections 23-24]

- The object of the contract must be lawful, meaning it should not be illegal, immoral, or opposed to public policy.
- Case Law: Gherulal Parakh v Mahadeodas Maiya AIR 1959 SC 781
 - Facts: The parties entered into an agreement for wagering contracts, which were legal in some states but not in others.
 - Decision: The Supreme Court held that a contract to carry out an illegal act is void, and the wagering contracts in question were illegal under the public policy of India.



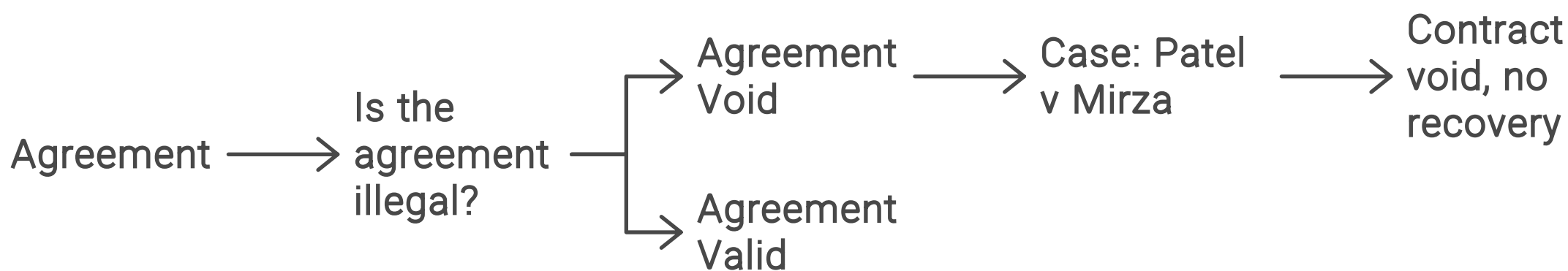
7. Certainty and Possibility of Performance [Sections 29, 56]

- Certainty: The terms of the contract must be clear and certain. Vagueness or ambiguity in the terms can render a contract void.
- Possibility of Performance: The contract must be capable of being performed. If the act is impossible, the contract is void.
- Case Law: Taylor v Caldwell [1863] EWHC QB J1
 - Facts: A music hall was rented out for concerts, but it burned down before the event. The issue was whether the contract could be enforced.
 - Decision: The court held that the contract was void due to impossibility of performance.



8. Not Declared Void by Law [Sections 10, 23, 25-30]

- Certain agreements are expressly declared void by the Contract Act, such as agreements in restraint of trade, marriage, legal proceedings, or agreements without consideration.
- Case Law: Patel v Mirza [2016] UKSC 42
 - Facts: An agreement was made based on insider trading, which is illegal. When the deal fell through, the plaintiff sought to recover the money paid.
 - Decision: The UK Supreme Court held that the contract was void for illegality, and the money could not be recovered.



Conclusion

A valid contract under the Contract Act, 1872, must fulfill all these essential elements. If any of these elements are missing, the contract may be void or voidable. Courts in Bangladesh, following the principles of the Contract Act and relevant case laws, ensure that contracts are formed and enforced in line with these established legal standards.



Advocates for International Development

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DEVELOPMENT

AT A GLANCE GUIDE TO

**BASIC
PRINCIPLES OF
ENGLISH
CONTRACT LAW**

Prepared by lawyers from

ALLEN & OVERY

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BASIC PRINCIPLES OF ENGLISH CONTRACT LAW

INTRODUCTION

This Guide is arranged in the following parts:

- I Formation of a Contract
- II Contents of a Contract
- III The end of a Contract

I FORMATION OF A CONTRACT

- 1. A contract is an agreement giving rise to obligations which are enforced or recognised by law.
- 2. In common law, there are 3 basic essentials to the creation of a contract: (i) agreement; (ii) contractual intention; and (iii) consideration.
- 3. The first requisite of a contract is that the parties should have reached agreement. Generally speaking, an agreement is reached when one party makes an offer, which is accepted by another party. In deciding whether the parties have reached agreement, the courts will apply an objective test.

A. OFFER

- 4. An offer is an expression of willingness to contract on specified terms, made with the intention that it is to be binding once accepted by the person to whom it is addressed.¹ There must be an objective manifestation of intent by the offeror to be bound by the offer if accepted by the other party. Therefore, the offeror will be bound if his words or conduct are such as to induce a reasonable third party observer to believe that he intends to be bound, even if in fact he has no such intention. This was held to be the case where a university made an offer of a place to an intending student as a result of a clerical error.²
- 5. An offer can be addressed to a single person, to a specified group of persons, or to the world at large. An example of the latter would be a reward poster for the return of a lost pet.
- 6. An offer may be made expressly (by words) or by conduct.
- 7. An offer must be distinguished from an invitation to treat, by which a person does not make an offer but invites another party to do so. Whether a statement is an offer or an invitation to treat depends primarily on the intention with which it is made. An invitation to treat is not made with the intention that it is to be binding as soon as the person to whom it is addressed communicates his assent to its terms. Common examples of

¹ Stover v Manchester City Council [1974] 1 WLR 1403.

² Moran v University College Salford (No 2), The Times, November 23, 1993.

invitations to treat include advertisements³ or displays of goods on a shelf in a self-service store.⁴

8. The famous case of *Carlill v Carbolic Smoke Ball Company* [1893] 2 QB 256 is relevant here. A medical firm advertised that its new drug, a carbolic smoke ball, would cure flu, and if it did not, buyers would receive £100. When sued, Carbolic argued the advert was not to be taken as a legally binding offer; it was merely an invitation to treat, a mere puff or gimmick. However, the Court of Appeal held that the advertisement was an offer. An intention to be bound could be inferred from the statement that the advertisers had deposited £1,000 in their bank "shewing our sincerity".

B. ACCEPTANCE

9. An acceptance is a final and unqualified expression of assent to the terms of an offer. Again, there must be an objective manifestation, by the recipient of the offer, of an intention to be bound by its terms. An offer must be accepted in accordance with its precise terms if it is to form an agreement. It must exactly match the offer and ALL terms must be accepted.
10. An offer may be accepted by conduct (for example, an offer to buy goods can be accepted by sending them to the offeror).
11. Acceptance has no legal effect until it is communicated to the offeror (because it could cause hardship to the offeror to be bound without knowing that his offer had been accepted). The general rule is that a postal acceptance takes effect when the letter of acceptance is posted⁵ (even if the letter may be lost, delayed or destroyed⁶). However, the postal rule will not apply if it is excluded by the express terms of the offer. An offer which requires acceptance to be communicated in a specified way can generally be accepted only in that way. If acceptance occurs via an instantaneous medium such as email, it will take effect at the time and place of receipt.⁷ Note that an offeror cannot stipulate that the offeree's silence amounts to acceptance.
12. A communication fails to take effect as an acceptance where it attempts to vary the terms of an offer. In such cases it is a counter-offer, which the original offeror can either accept or reject. For example, where the offeror offers to trade on its standard terms and the offeree purports to accept, but on its own standard terms, that represents a counter-offer. Making a counter-offer amounts to a rejection of the original offer which cannot subsequently be restored or accepted (unless the parties agree).⁸ It is important to distinguish a counter-offer from a mere request for further information regarding the original offer.
13. An offer may be revoked at any time before its acceptance, however the revocation must be communicated to the offeree. Although revocation need

³ *Partridge v Crittenden* [1968] 1 WLR 1204.

⁴ *Pharmaceutical Society of Great Britain v Boots Cash Chemist (Southern) Ltd* [1953] 1 QB 410.

⁵ *Henthorn v Fraser* [1892] 2 Ch 27.

⁶ *Adams v Lindsell* [1818] 1 B & Ald 681.

⁷ *Entores v Miles Far East Corp* [1955] 2 QB 327.

⁸ *Hyde v Wrenzy* [1840] 3 Beav 334.

not be communicated by the offeror personally (it can be made by a reliable third party), if it is not communicated, the revocation is ineffective.⁹

14. Once an offer has been accepted, the parties have an agreement. That is the basis for a contract, but is not sufficient in itself to create legal obligations.

C. CONSIDERATION

15. In common law, a promise is not, as a general rule, binding as a contract unless it is supported by consideration (or it is made as a deed). Consideration is "something of value" which is given for a promise and is required in order to make the promise enforceable as a contract. This is traditionally either some detriment to the promisee (in that he may give value) and/or some benefit to the promisor (in that he may receive value). For example, payment by a buyer is consideration for the seller's promise to deliver goods, and delivery of goods is consideration for the buyer's promise to pay. It follows that an informal gratuitous promise does not amount to a contract.

Consideration must be sufficient, but need not be adequate

16. Although a promise has no contractual force unless some value has been given for it, consideration need not be adequate. Courts do not, in general ask whether adequate value has been given (in the sense of there being any economic equivalence between the value of the consideration given and the value of any goods or services received). This is because they do not normally interfere with the bargain made between the parties¹⁰. Accordingly, nominal consideration is sufficient.

Consideration must not be from the past

17. The consideration for a promise must be given in return for the promise.

Consideration must move from the promisee

18. The promisee must provide the consideration. Traditionally, a person to whom a promise was made can enforce it only if he himself provided the consideration for it. He has no such right if the consideration moved from a third party. For example, if A promises B to pay £10,000 to B if C will paint A's house and C does so, B cannot enforce A's promise (unless B had procured or undertaken to procure C to do the work). However, where the conditions of the Contracts (Rights of Third Parties) Act 1999 are met, a third party may be able to enforce rights created in his favour by a contract which he was not a party to, and the courts are also adopting a more flexible position under the common law here.
19. While consideration must move from the promisee, it need not move to the promisor. First, consideration may be satisfied where the promisee suffers some detriment at the promisor's request but confers no corresponding benefit on the promisor. For example, the promise to give up tenancy of a flat

⁹ *Byrne v Van Tienhoven* [1880] 5 CPD 344.

¹⁰ There are a few exceptions, for example, where certain terms of a contract are void either by statute (for example, tenancy agreement) or where common law holds the terms to be so unreasonable that they cannot be enforced and/or are varied by the courts.

may be adequate consideration even though no direct benefit results to the promisor. Secondly, consideration may move from the promisee without moving to the promisor where the promisee, at the promisor's request, confers a benefit on a third party. In situations where goods are bought with a credit card, the issuer makes a promise to the supplier that s/he will be paid. The supplier provides consideration for this by providing goods to the customer.

D. CONTRACTUAL INTENTION

20. An agreement, even if supported by consideration, is not binding as a contract if it was made without an intention to create legal intentions. That is, the parties must intend their agreement to be legally binding.
21. In the case of ordinary commercial transactions, there is a presumption that the parties intended to create legal relations. The onus of rebutting this presumption is on the party who asserts that no legal effect was intended, and the onus is a heavy one.¹¹
22. Many social arrangements do not amount to contracts because they are not intended to be legally binding. Equally, many domestic arrangements, such as between husband and wife, or between parent and child, lack force because the parties did not intend them to have legal consequences. In *Balfour v Balfour* [1919] 2 KB 571, a husband who worked abroad promised to pay an allowance of £30 per month to his wife, who was in England. The wife's attempt to enforce this promise failed: the parties did not intend the arrangement to be legally binding. (Note that in addition, the wife had not provided any consideration.)
23. An agreement which is made "subject to contract" (typically, agreements for the sale of land) or a "letter of comfort" is generally unenforceable. The words normally negate any contractual intention, so that the parties are not bound until formal contracts are exchanged.

E. FORM

1. The general rule is that contracts can be made informally; most contracts can be formed orally, and in some cases, no oral or written communication at all is needed. Thus, an informal exchange of promises can still be as binding and legally valid as a written contract. There are statutory exceptions to this rule. For example: (i) a lease for more than 3 years must be made by deed: *Law of Property Act* 1925, ss 52, 54(2); (ii) most contracts for the sale or disposition of an interest in land must be "made in writing": *Law of Property (Miscellaneous Provisions) Act* 1989, s 2; (iii) contracts of guarantee are required to be evidenced in writing: *Statute of Frauds*, s 4.

II CONTENTS OF A CONTRACT

The terms of a contract can be divided into express terms and implied terms.

A. EXPRESS TERMS

¹¹ *Edwards v Skyways Ltd* [1964] 1 WLR 349.

1. Express terms are ones that the parties have set out in their agreement.
2. The parties may record their agreement, and hence the terms of their contract, in more than one document. Those terms may be incorporated by reference into the contract; (for example, where a contract is made subject to standard terms drawn up by a relevant trading association). Or, a contract may be contained in more than one document even though one does not expressly refer to the other (for example, dealings which take place under a 'master contract' with a separate document being executed every time an individual contract is made). Here, the master contract lays out most of the underlying terms on which the parties are dealing, while certain specific terms – price, times for delivery etc – are covered in individual contracts for each specific trade. Incorporation without express reference depends on the intention of the parties, determined in accordance with the objective test of agreement.
3. Once the express terms have been identified, there is the question of interpretation. The document setting out the parties' agreement must be interpreted objectively: it is not a question of what one party actually intended or what the other party actually understood to have been intended but of what a reasonable person in the position of the parties would have understood the words to mean. The starting point for ascertaining the objective meaning is the words used by the parties. These are interpreted according to their meaning in conventional usage, unless there is something in the background showing that some other meaning would have been conveyed to the reasonable person. Thus, the terms of the contract must be read against the "factual matrix"; that is, the body of facts reasonably available to both parties when they entered the contract.¹²
4. The "parol evidence" rule provides that evidence cannot be admitted to add to, vary or contradict a written document. Therefore, where a contract has been put in writing, there is a presumption that the writing was intended to include all the terms of the contract, and neither party can rely on extrinsic evidence of terms alleged to have been agreed which are not contained in the document. This presumption is rebuttable, and extrinsic evidence is admissible, if the written document was not intended to set out all the terms on which the parties had agreed. The parol evidence rule prevents a party from relying on extrinsic evidence only about the contents of a contract (and only express terms), and not about its validity (such as the presence or absence of consideration or contractual intention, or where a contract is invalid for a reason such as incapacity).

B. IMPLIED TERMS

5. A contract may contain terms which are not expressly stated but which are implied, either because the parties intended this, or by operation of law, or by custom or usage.

Terms implied in fact

6. Terms implied in fact are ones which are not expressly set out in the contract, but which the parties must have intended to include. The courts have adopted

¹² ICS Ltd v West Bromwich [1998] 1 WLR 896.

two tests governing whether a term may be implied. The first is the "officious bystander" test, where a term is so obvious that its inclusion goes without saying, and had an officious bystander asked the parties at the time of contracting whether the term ought to be included, the parties would have replied "Oh, of course".¹³ In other words, if it can be established that both parties regarded the term as obvious and would have accepted it, had it been put to them at the time of contracting, that should suffice to support the implication of the term in fact. The alternative test for implication is that of "business efficacy", where the contract would be unworkable without the term.¹⁴ For example, it has been held that in a contract for the use of a wharf, it was an implied term that it was safe for a ship to lie at the wharf. Under this test, a term will be implied if the contract simply could not work without such a term. It is important to note that the courts will not imply a term merely because it would be reasonable or desirable to do so. Further, a term cannot be implied if it conflicts with the express terms of the contract.

Terms implied in law and by statute

7. Terms implied in law are terms imported by operation of law, whether the parties intended to include them or not. For example, in a contract for the sale of goods, it is an implied term that the goods will be of a certain quality and, if sold for a particular purpose, will be fit for that purpose. For certain contracts the law seeks to impose a standardised set of terms as a form of regulation. Many terms which are implied in law have been put into statutory form. For example, a number of important terms are implied into contracts for the sale of goods by ss 12 to 15 of the *Sale of Goods Act* 1979.
8. Further significant terms may be implied from the nature of the relationship between the parties – for example, contracts for professional services require the professional to act with reasonable standards of competence, a lawyer must act in his client's best interests and a doctor has a duty of confidentiality to his patients.

Terms implied by custom or usage

9. Evidence of custom is admissible to add to, but not to contradict, a written contract. Terms may also be implied by trade usage or locality.

III THE END OF A CONTRACT – EXPIRATION, TERMINATION, VITIATION, FRUSTRATION

1. There are essentially four ways in which a contract can be brought to an end.

A EXPIRATION

2. This refers to a contract which comes to an end in accordance with its terms, either because it has a fixed expiry date or because there is a right to terminate contained in the contract (a contractual right to terminate is distinct from a common law right to terminate for breach, which is discussed below).

B TERMINATION

¹³ *Shirlaw v Southern Foundries (1926) Ltd* [1939] 2 KB 206, 227 per MacKinnon LJ.

¹⁴ *The Moorcock* [1889] 14 PB 64.

(i) Breach

3. A breach of contract is committed when a party, without lawful excuse, fails or refuses to perform what is due from him under the contract, or performs defectively, or incapacitates himself from performing.
- (a) Failure or refusal to perform – a failure or refusal to perform a contractual promise when performance has fallen due is prima facie a breach.
 - (b) Defective performance – where a person promises to do one thing but does another, which differs, for example, in time, quantity or quality, this amounts to a breach. The effect of such a breach often differs from those of a complete failure or refusal to perform (see below). Note that where the "defect" in performance is particularly serious, the breach may amount to non-performance rather than defective performance (for example, if a seller promises beans but delivers peas).
 - (c) Incapacitating oneself – for example, a seller commits a breach of contract for the sale of a specific thing if he sells it to a third party.

(ii) Anticipatory Breach

4. An anticipatory breach occurs when, before performance is due, a party either repudiates the contract or disables himself from performing it.
- (a) Repudiation – clear and absolute refusal to perform, which includes conduct showing the party is unwilling, even though he may be able, to perform.
 - (b) Disablement – for example, where a party disposes elsewhere of the specific thing which forms the subject matter of the contract.

Where one party commits an anticipatory breach, the other can elect to:

- (i) keep the contract alive by continuing to press for performance (in which case the anticipatory breach will have the same effect as an actual breach); or
 - (ii) "accept" the breach (in which case he has a right to damages and termination, discussed below).
5. If the injured party does not accept the breach, he remains liable to perform and retains the right to enforce the other party's primary obligations. However, it must be borne in mind that the effect of one party's breach may mean that it prevents the other party from performing his continuing obligations. Affirmation does not prevent the injured party from terminating the contract on account of a later actual breach.
6. If the injured party does accept the breach, acceptance must be complete and unequivocal and he should make it plain that he is treating the contract as at an end. A breach can be accepted by bringing an action for damages, or by giving notice of intention to accept it to the party in breach.

7. Acceptance of the breach entitles the injured party to claim damages at once (before the time fixed for performance).¹⁵ As with an actual breach, an anticipatory breach can also give rise to a right to terminate. This right arises immediately, if the prospective effects of the anticipatory breach are such as to satisfy the requirement of substantial failure in performance.

(iii) Termination for Breach

8. Termination is the remedy by which one party (the injured party) is released from his obligation to perform because of the other party's defective or non-performance. A breach gives the injured party the option to terminate the contract or to affirm it and claim further performance. Termination depends on the injured party's election because the guilty party should not be allowed to rely on his own breach of duty to the other party in order to get out of the contract. The injured party must unequivocally indicate his intention to terminate such as by giving notice to this effect to the party in breach or by commencing proceedings. He must terminate the contract as a whole. And, if the injured party accepts further performance after breach, he may be held to have affirmed, so that he cannot later terminate the contract. After termination, the injured party is no longer bound to accept or pay for further performance. However, termination does not release the injured party from his duty to perform obligations which accrued before termination. If the injured party fails to exercise his option to terminate, or positively affirms the contract, the contract remains in force and each party is bound to perform his obligations when that performance falls due.
9. At law, the right to terminate for breach arises in three situations:
- (a) repudiation – where a party evinces a clear and absolute refusal to perform;
 - (b) impossibility – where a party disables himself from performing;
 - (c) substantial failure to perform. Any defect in performance must attain a certain minimum degree of seriousness to entitle the injured party to terminate. A failure in performance is "substantial" when it deprives the party of what he bargained for or when it "goes to the root" of the contract. For less serious breaches, a right to damages may arise, but not a right to terminate.
10. It should be noted that bringing proceedings for breach of contract does not necessarily amount to termination of that contract. It may be that the claimant is seeking damages alone and/or the contract may contain specified formalities to be met before termination can occur.

C VITIATION

11. There are situations where the parties have reached agreement but the question arises whether the existence or non-existence of some fact, or the occurrence or non-occurrence of some event, has destroyed the basis on which that agreement was reached so that the agreement is discharged or in some other way vitiated.

¹⁵ *Hochster v De la Tour* (1853) 2 E. & B. 678.

(i) Misrepresentation

12. A misrepresentation is a false statement¹⁶ of fact made by one party to another, which, whilst not a term of the contract, induces the other party to enter into the contract. An actionable misrepresentation must be a false statement of fact, not of opinion or future intention or law. Silence does not normally amount to misrepresentation. However, the representor must not misleadingly tell only part of the truth. Thus, a statement that does not present the whole truth may be a misrepresentation. Where a statement was true when it was made but due to a change of circumstances becomes false, there is a duty to disclose the change.¹⁷
13. A misrepresentation may be:
 - (i) Fraudulent- made knowingly, without belief in its truth or recklessly;
 - (ii) Negligent- made by a person who had no reasonable grounds to believe that it was true; or
 - (iii) Innocent- made in the wholly innocent belief that it was true.
14. The misrepresentation must have induced, at least partly, the party to enter into the contract and must have been relied on to at least some degree by the person to whom it was made. If that person in fact relies on his own judgments or investigations, or simply ignores the misrepresentation, then it cannot give rise to an action against the person who made the misrepresentation.
15. There are multiple remedies available once misrepresentation has been proved:
 - (i) Rescission- This sets aside the contract and primarily aims to put the parties back in their original position as if the contract had never been made. Rescission can be sought for all cases of misrepresentation. However, this is a discretionary remedy – meaning that the courts will not always allow a party to rescind - and the injured party may lose the right to rescind if: a) he has already affirmed the contract; b) he does not act to rescind in a reasonable time; c) it is or becomes impossible to return the parties back to their original position; or d) a third party has acquired legal rights as a result of the original contract.
 - (ii) Indemnity- The court may order payment for expenses necessarily incurred in complying with the terms of the contract.
 - (iii) Damages- This remedy varies according to the type of misrepresentation. In fraudulent misrepresentation cases there is an automatic right to damages, in negligent cases the injured party may claim damages under common law or under the Misrepresentation Act 1967 s2(1). In situations of innocent misrepresentation, the court has discretion whether to award damages and may opt to award damages in lieu of rescission. Damages are discussed further below.

¹⁶ For these purposes, a course of conduct may amount to a representation.

¹⁷ With v O'Flanagan [1936] Ch 575.

(ii) Mistake

16. A contract may be void or voidable if mistake has occurred. If a contract is void, then it is so 'ab initio' (from the beginning), as if the contract was never made. In such cases, no obligations will arise under it. Alternatively, if the contract is voidable, the contract will have been valid from the start and obligations may arise under it despite the mistake.
17. Mistake can be classified into different forms:
- (i) Common Mistake- A common mistake is one where both parties make the same error relating to a fundamental fact. For example, a contract will be void at common law if the subject of the contract no longer exists – e.g. a contract for the sale of specific goods where those goods have already perished. Similarly, the contract will be void if the buyer makes a contract to buy something that in fact already belongs to him.
 - (ii) Unilateral Mistake-This occurs when only one party is mistaken. This includes mistake as to the terms of the contract or mistake as to the identity of the parties. A mistake as to terms will make a contract void.
 - (iii) Mutual Mistake- A mutual mistake is one where both parties fail to understand each other.
 - (iv) A mistake as to the quality of what is being contracted for – only in extreme cases of such a mistake will the contract be void. It must be a mistake "which makes the thing without the quality *essentially different* from the thing as it was believed to be".

D FRUSTRATION

18. Under the doctrine of frustration, a contract may be discharged if, after its formation, an unforeseen event occurs which makes performance of the contract impossible, illegal or essentially different from what was contemplated. A good example is *Avery v Bowden*¹⁸, in which a ship was supposed to pick up some cargo at Odessa. With the outbreak of the Crimean War, the government made it illegal to load cargo at an enemy port, so the ship could not perform its contract without breaking the law. The contract was therefore frustrated. Frustration will not occur where the frustrating event was caused by the fault of one party. Equally, frustration will not occur where the parties made express provision for the event in their contract (such as in a force majeure clause). The doctrine cannot be invoked lightly, and cannot allow a party to escape from a bad bargain.
19. The position at common law is that frustration discharges the parties only from duties of future performance. Rights accrued before the frustrating event therefore remain enforceable but those which have not yet accrued do not arise. This may cause hardship, as exemplified in *Chandler v Webster*.¹⁹ Here money for hire of a room for the King's coronation was due in advance. Not

¹⁸ (1855) 5 E & B 714.

¹⁹ [1904] 1 K.B. 493.

all the monies had been paid when the coronation was postponed, but the hirer was still liable to pay the full amount. The payment had fallen due before the frustrating event.

20. The Law Reform (Frustrated Contracts) Act 1943 was enacted to remedy this defect. Under the Act, sums paid before that date are recoverable; sums due after that date cease to be payable. Where there has been partial performance, the performing party may be able to recover its expenses incurred in carrying out, or preparing to carry out, that performance.

VI DAMAGES / REMEDIES

1. Damages are intended to compensate the injured party for the loss that he has suffered as a result of the breach of contract. In order to establish an entitlement to substantial damages for breach of contract, the injured party must show that:

- (i) actual loss has been caused by the breach;
- (ii) the type of loss is recognised as giving an entitlement to compensation; and
- (iii) the loss is not too remote.

A breach of contract can be established even if there is no actual loss but in that case, there will be an entitlement to only nominal damages.

The underlying principle is to put the injured party financially, as near as possible, into the position he would have been in had the promise been fulfilled. As a general rule, damages are based in loss to the claimant not gain to the defendant. In other words, damages are designed to compensate for an established loss and not to provide a gratuitous benefit to the aggrieved party.

2. Damages may sometimes be an inadequate remedy. There are a number of equitable remedies, which are discretionary, directed at ensuring that the injured party is not unjustly treated by being confined to the common law remedy of damages. For example:

- (i) Specific Performance

Where damages are deemed inadequate, the court may make an order for specific performance which will compel the party in breach to fulfil the terms of a contract. The court "will only grant specific performance if, under all the circumstances, it is just and equitable to do so."²⁰ Specific performance may be refused if the claimant has acted unjustly or unfairly on the basis that the claimant must come to equity with "clean hands".

- (ii) Injunction

A court may restrain a party from committing a breach of contract by injunction. Such injunctions may be "interlocutory" ones which are designed

²⁰ *Stickney v Keeble* [1915] AC 386.

to regulate the position of the parties pending a full hearing of a dispute or permanent.

Further, an injunction (whether interlocutory or permanent) may be "prohibitory" ordering a defendant not to do something in breach of contract or "mandatory" requiring a defendant to reverse the effects of an existing breach. An injunction will not normally be granted if the effect is to directly or indirectly compel the defendant to do acts for which the plaintiff could not have obtained an order for specific performance.